



IS-ETW/BFE-2026-008 - Amendments to the Income and Employment Supports Act and Income Support, Training and Health Benefits Regulation to Support a New Approach to Disability Income Assistance and Program Integrity

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Policy Manual Update

Income Support

Subject: Amendments to the Income and Employment Supports Act and Income Support, Training and Health Benefits Regulation to Support a New Approach to Disability Income Assistance and Program Integrity

Number: IS-ETW/BFE-2026-008

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Income and Employment Supports Update Subscribers

BACKGROUND:

Effective July 2, 2026 the [Income and Employment Supports Act](#) (IESA) and [Income Support Training and Health Benefits Regulation](#) (ISTHBR) come into force. These changes align with the government's updated approach to disability income assistance and include enhancements to the Assured Income for the Severely Handicapped (AISH) program for individuals with a severe disability that permanently prevents employment, and the introduction of the Alberta Disability Assistance program (ADAP) for those with a severe disability that substantially impedes, but does not prevent, employment. Other amendments have been made to strengthen existing program integrity measures.

Income Support program policy has been updated to reflect the following amendments:

Approach to Disability Income Assistance (AISH and ADAP)

- The Handicap Benefit and Client Sub-Type 43 Severe Handicap have been discontinued. Clients are encouraged to apply for the program that is most appropriate for their needs (AISH or ADAP).

Benefit Amounts and Income Exemptions

- Benefit amount provisions moved from IESA to ISTHBR;
- Specific rates have been set out for the children's portion of the Core Essential benefit; and
- Monthly employment income exemptions have increased for BFE clients.

Core Shelter Benefits for Continuing Care Homes

- Core shelter may be paid for both type A continuing care homes and type B continuing care homes up to the private room rate set under the *Continuing Care Act*; and
- Shelter payments must be paid directly to the continuing care home or approved hospital, unless exempted by director decision.

Program Integrity Measures

- Applicants and clients must provide a copy of their annual income tax notice of assessment at application and annually thereafter;
- Expected to Work clients without children may face a maximum duration limit of six consecutive months if they are not complying with program obligations identified in their individual plan;
 - A three-month period of ineligibility may apply after file closure when program obligations have not been met;

- A twelve-month period of ineligibility must be applied following a conviction of fraud or offence against Income Support, AISH or ADAP; and
 - A decision to not exempt a client from the twelve-month period of ineligibility referenced above is not appealable.

Overpayments

- A financial resource may be applied to the month it was received or prorated to the periods for which it was intended (if received retroactively or as a lump sum payment);
 - Decisions about applying or prorating financial resources are not appealable;
- An underpayment owed to a client may be used to reduce the amount a client owes to the Government of Alberta;
- A decision as to whether there are other appropriate circumstances to exempt a client from the requirement to repay an amount or value under section 35(5) of the Act is not appealable; and
- A sponsor cannot appeal the requirement to pay an amount owing to the Government per the *Immigration and Refugee Protection Act* (Canada).

INTENT:

To ensure Income Support program policies accurately reflect the amended provisions under IESA and ISTHBR, which come into force on July 2, 2026.

POLICY:

The following policy sections have been updated:

Income Support Overview

[General Eligibility Rules](#)

[Eligibility Impacts](#)

[Delegated Authority to Make Eligibility Decisions](#)

[Denying or Terminating Benefits](#)

Client Categories/Types

[General Policy](#)

[One-Time Issues](#)

[Expected to Work – Maximum Duration of Benefits](#) - New

Special Groups

[Financial Administrators, Public Trustee or Third Party Payments](#)

[High School Incentive \(HSI\) Benefit](#)

[One Adult Living in Community/Spouse/Partner Living in Facility](#)
[Persons with Immigration Status - General Eligibility](#)
[Assessing Eligibility and Verifying Immigration Status](#)
[Immigration Status – Family Class \(Sponsored\)](#)
[Immigration Status – Other Than Family Class](#)

Limited/Ineligible Groups

[Health and Treatment Facilities](#)
[Persons Convicted of Fraud or Offence Against Program](#) - New

Core Shelter

[Core Shelter – General Policy](#)

Core Essential

[Core Essential](#)
[Core Essential Rate Adjustment](#)

Income

[Employment and Self-Employment Income](#)
[Income - Substantiation and Verification](#)

Appeal and Decision Review

[Overview and Authority](#)

Overpayments, Underpayments, Debts and Recovery

[Assessment and Notification of an Overpayment](#)
[Overpayment Process](#)
[Delegated Authority for Overpayment Decisions](#)
[Criteria for Exempting the Requirement to Repay an Assessed Overpayment](#)
[Overpayment as a Result of a Retroactive Payment](#)

Administrative Procedures

[Career and Employment Consultant](#)
[Alerts](#)
[File Closures](#)
[Client Responsibilities](#)

Investigation

[Investigation](#)

Note

Policies with legislative references have been updated to reflect amendments to the IESA

and ISTHBR. Policies are excluded from this list if the changes were only minor, such as updates to legislative references, removal of outdated procedures or system references.

Tools and Resources:

[Income Support Financial Benefit Summary](#)

The following policies have been rescinded:

Client Sub-Type 43 Severe Handicap

Handicap Benefit

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